



Anyone who stops learning is old, whether at twenty or eighty.

—Henry Ford

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and ensuring responsible disposal. Rochester finds ways to make old components useful again by testing and refurbishing them. They also analyse market trends to find new uses for old inventory.

EFY also spoke to small component distributors in India and came across a new business model that gained prominence in the middle of the pandemic. Sources stated that during the chip shortage, many component distributors were able to successfully sell off deadstock inventory to markets outside the country. "I bought ICs as a part of deadstock inventory for ₹80 in India, and I was able to sell it at a profit in China because the same cost ₹160 there. While this is a matter of luck, I have been in this business for many years now," revealed a source. Another component distributor confirmed the sale of excess inventory to markets in North America, Europe, and China.

Praveen Kumar, Founder and CTO of Convora Technologies, is building a solution to tackle the challenge of disposal of deadstock inventory through his startup Elecextra—a dedicated marketplace to facilitate buying and selling of excess inventory between EMS companies, electronics OEMs, and others. Due for launch this year, the platform will allow EMS companies with deadstock inventory to register their components at the price they bought them.

"This price would be cheaper than the current market price. Our SaaS platform collects subscription fees from sellers (EMS and OEM) to publish their inventory at a nominal cost. Out of this, Elecextra takes a minimum (3% to 7%) percentage, added to the price for the buyer as convenience fees. The seller ends up diluting the deadstock inventory at the price they originally bought it. The deadstock components can

be re-circulated in the market to be used by buyers who need them, without waiting for painful lead times.

Nandini believes that this approach could ease out the pressure on EMS companies to a certain extent. "A verified portal can make a note of all the dead inventory that EMS companies are holding, and everyone can fish something out of this portal to get what they want. This way the reliance on component manufacturers and distributors decreases," she opines.

The impact of deadstock goes beyond mere dollars and cents. In a world where agility and responsiveness are of utmost importance, excess inventory disrupts the smooth flow of the supply chain, creating bottlenecks and logistical nightmares. It obscures genuine demand signals, complicates production scheduling, and undermines operational efficiency—all while masking the underlying inefficiencies lurking within the supply chain.

By adopting better inventory management processes, supply chain optimisation, and demand forecasting, electronics manufacturers can navigate the maze of deadstock. Advanced analytics and AI-driven insights can allow EMS companies to embrace agile manufacturing practices.

In the end, the battle against deadstock is not just about managing surplus components—it is about mastering the art of supply chain resilience and reimagining the future of Indian electronics manufacturing in a world defined by constant change and innovation. **EFY**

Yashasvini Razdan is a journalist at EFY. She has the rare ability to write both on tech and business aspects of electronics, thanks to an insatiable thirst to know all about technology. Driven by curiosity, she collects hard facts and wields the power of her pen to simplify and disseminate information.